

20127 – Corporate Finance (Business Valuation)

LATAM Airlines Group SA - Valuation

Group 17

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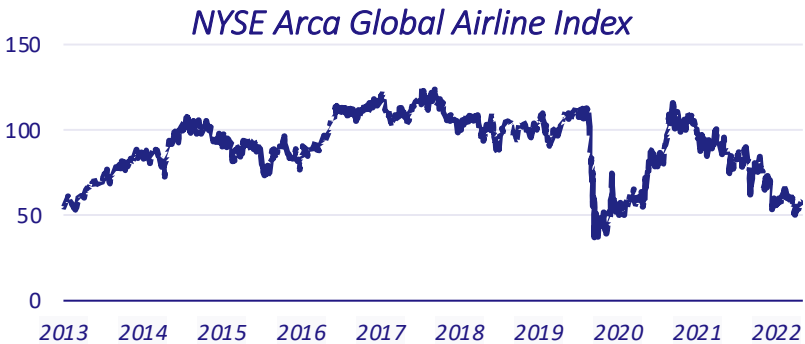
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1. EXECUTIVE SUMMARY

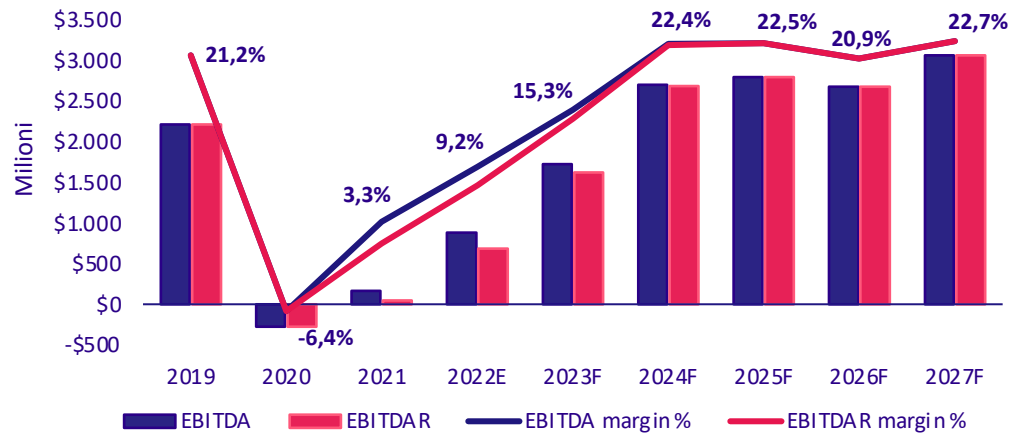
A QUICK OVERVIEW

GENERAL MARKET FRAMEWORK

- The NYSE Arca Global Airline Index is a **modified equal-dollar weighted index** designed to measure the performance of **highly capitalized and liquid international airline companies**.
- The Index tracks the **price performance** of selected local market stocks or ADRs of major USA and overseas airlines



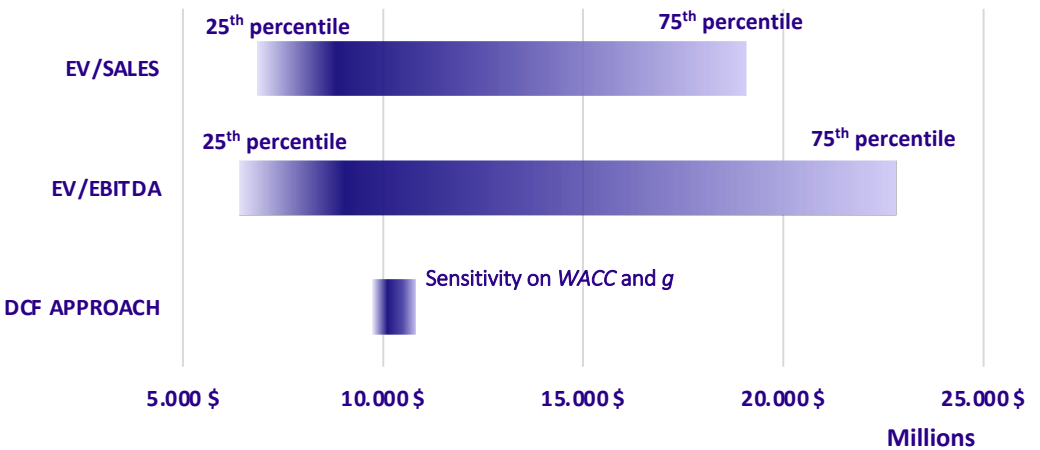
KEY FIGURES



LATAM RELATIVE POSITIONING



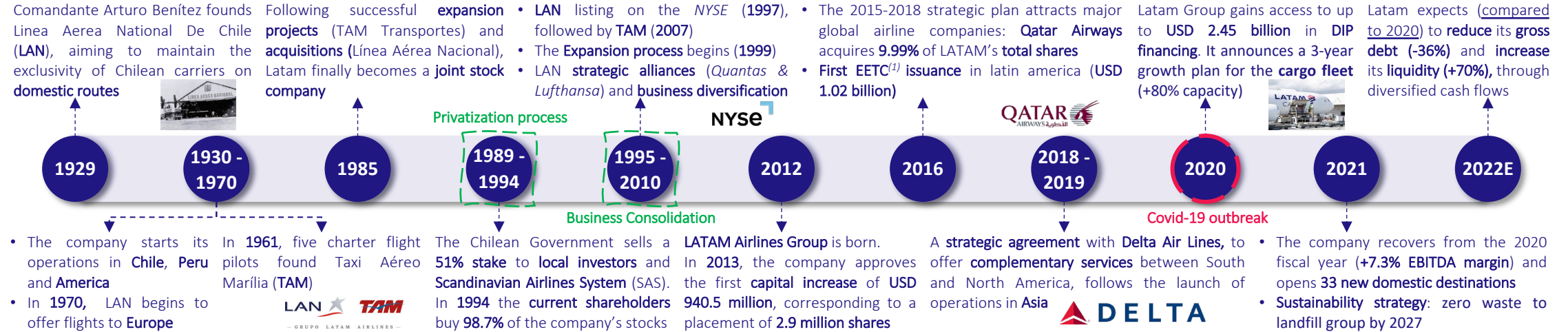
VALUATION



2. COMPANY & MARKET OVERVIEW

A STORY OF SUCCESS IN SOUTH AMERICA

EQUITY STORY



A HYBRID BUSINESS MODEL

LATAM business model can be identified as a hybrid model between a Full-Service Airline (FSA) and a Low Cost Carrier (LCC)

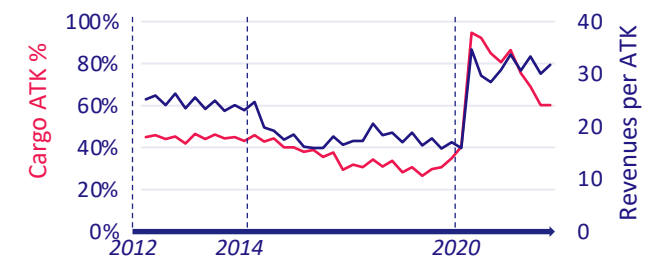
FSA FEATURES

- ✓ Largest Frequent Flyer programme in Latin America (39M members)
- ✓ Services differentiation (seats, flexibility to cancel/change flight)
- ✓ #1 in Punctuality (OTP) globally in Mega Airlines category
- ✓ Leader in frequency in 60% of its routes
- ✓ Strategic alliances result in a more complex but complementary network of connections

LCC FEATURES

- ✓ 1st company in Latin America to obtain the platinum certificate under IATA Fast Travel (>80% check-in with self service)
- ✓ Single type Airline (the Narrow-body A320 Family comprises 80% of the fleet)
- ✓ Low cost base (targeted offerings to enable capacity at a marginal cost, dynamic pricing for non-ticket redemption, optimal promotion price)

CARGO REVENUES



The graph shows the historical trend of Revenues/ATK and the percentage of ATK made by Boeing 767-300F (Latam cargo dedicated airplanes). More profitability is associated with more cargos employed

⁽¹⁾Corporate debt securities structured through SPVs

AIRLINE INDUSTRY OUTLOOK

MARKET EVOLUTION

Pre-Covid

- Air transport has always contributed to **global economic development** for two reasons:
 - Rise in connectivity between countries
 - Long-term decline in real air transports costs
- The airline industry has historically been a **low return sector**, with an overall return on capital well behind the **threshold of 7%**, creating an *empty core value chain*
- System-wide global commercial airlines market accounted **838 billion** of dollars in 2019, coming from a **5.3% CAGR** in the period 2009-2019

Post-Covid

- The outbreak of **Sars-Cov 2** caused a **market contraction** of **54.4%**, causing the market to collapse to a value of **382 billion** of dollars
- In 2021 the value of the market recovered to **471.8 billion**
- The **war in Ukraine** and the (partially related) **cost pressures** of **fuel** and **oil** contributed to the global rise in inflation and subsequent decisions of central banks' monetary policies
- Global RPKs** are forecasted to remain below their pre-pandemic 2019 level *until 2024*

The «global wealth-transfer» value chain is experiencing **extensive changes**:

EXTERNAL

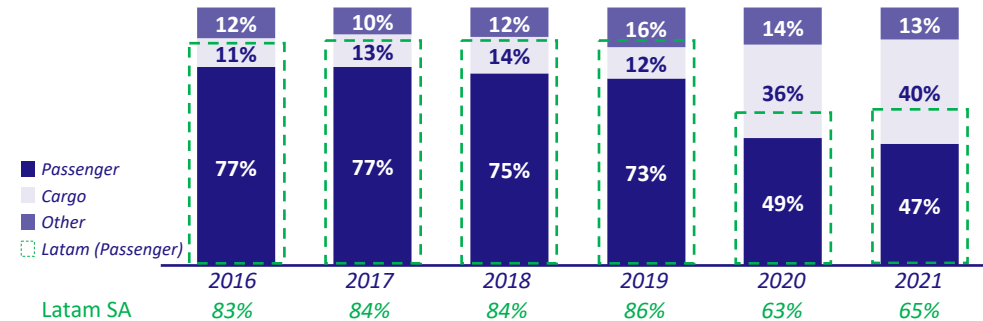


INTERNAL



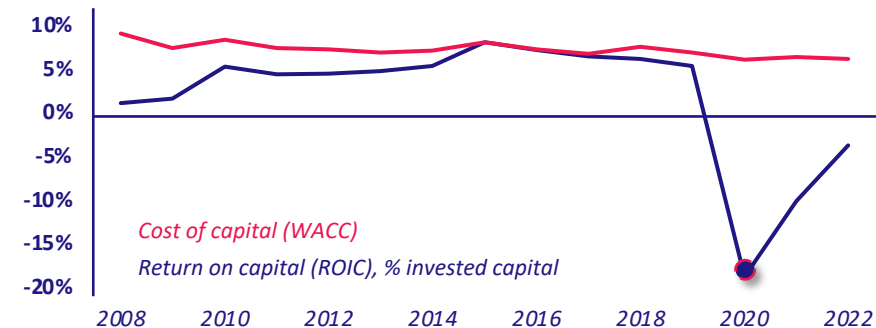
GLOBAL REVENUE COMPOSITION (2016-2021)

- Despite the **relevant percentage shift** from passenger (-30%) to cargo revenues (+29%) in the past 6 years in the airline sector, Latam maintained a strong emphasis on passenger revenues (65% in 2021)
- The development of the **«Cargo-based» business model** is partially correlated with the severe flight restrictions due to the pandemic
- Public sector support** inevitably contributed to the high resilience of the market



GLOBAL WACC & ROIC IN AIRLINE COMPANIES (2008-2022)

- In any industry, investors expect to earn at least the increment in value generated by comparable assets with similar risk
- In the airline industry, while **debt providers** have been rewarded for their investments (debt was secured by company-owned assets), **equity providers** have not received adequate reward for their risk exposure



3. FINANCIAL STATEMENTS RECLASSIFICATION

BALANCE SHEET

Year ended December 31,	2021	2020	2019	2018	2017	Year ended December 31,	2021	2020	2019	2018	2017
NET ASSETS	Data in US\$ millions, except per share and capital stock					EQUITY					
Net Invested Capital						Share capital	3,146.3	3,146.3	3,146.3	3,146.3	3,146.3
Trade and other accounts receivable	902.7	599.4	1,244.3	1,162.6	1,214.1	Retained earnings/(losses)	(8,841.1)	(4,193.6)	352.3	219.0	475.1
Account receivable from realted entities	0.7	0.2	19.6	2.9	2.6	Treasury Shares	(0.2)	(0.2)	(0.2)	(0.2)	(0.2)
Inventories	287.3	323.6	354.2	279.3	236.7	Other reserves	(1,361.5)	(1,388.2)	(367.6)	(4.4)	554.9
Current tax assets	41.3	42.3	29.3	69.1	78.0	Parent's ownership interest	(7,056.5)	(2,435.7)	3,130.8	3,360.7	4,176.1
Other current non-financial assets	108.4	155.9	313.4	290.5	221.2	Non-controlling interest	(10.4)	(6.7)	(1.6)	79.9	91.1
Accounts receivable, non-current	12.2	5.0	4.7	5.4	6.9	Total Equity	(7,066.9)	(2,442.4)	3,129.2	3,440.6	4,267.2
Current tax assets, non-current	-	-	-	0.8	17.5						
Deferred tax assets	15.3	564.8	235.6	273.5	364.0	NET FINANCIAL POSITION					
Other non-current non-financial assets	125.4	126.8	204.9	227.5	220.8	Other current financial liabilities	4,453.5	3,055.7	1,885.7	1,794.3	1,300.9
Trade and other accounts payables	(4,860.2)	(2,322.1)	(2,222.9)	(1,674.3)	(1,695.2)	Other non-current financial liabilities	5,948.7	7,803.8	8,530.4	8,359.5	6,605.5
Accounts payable to related entities	(661.6)	(0.8)	(0.1)	(0.4)	(0.8)	Total Financial Liabilities	10,402.2	10,859.5	10,416.1	10,153.7	7,906.5
Other current provisions	(27.9)	(23.8)	(5.2)	(4.8)	(2.8)	Cash and cash equivalents	(1,046.8)	(1,695.8)	(1,072.6)	(1,081.6)	(1,142.0)
Other current non-financial liabilities	(2,332.6)	(2,088.8)	(2,835.2)	(2,454.7)	(2,824.0)	Net Financial Position	9,355.3	9,163.7	9,343.5	9,072.1	6,764.5
Accounts payable, non-current	(472.4)	(651.6)	(619.1)	(529.3)	(498.8)	Equity+Net Financial Position	2,288.4	6,721.3	12,472.7	12,512.7	11,031.7
Accounts payable to related entities, non-current	-	(396.4)	-	-	-						
Current tax liabilities	(0.7)	(0.7)	(11.9)	(3.7)	(3.5)						
Deferred tax liabilities	(341.0)	(384.3)	(616.8)	(786.6)	(949.7)						
Employee benefits (1)	(56.2)	(74.1)	(93.6)	(82.4)	(101.1)						
Other non-current provisions	(712.6)	(588.4)	(286.4)	(303.5)	(374.6)						
Other non-current non-financial liabilities	(512.1)	(702.0)	(851.4)	(644.7)	(158.3)						
Net Working Capital	(8,483.9)	(5,415.0)	(5,136.3)	(4,172.7)	(4,247.0)						
Other current financial assets	101.1	50.3	499.5	384.0	559.9						
Other non- current financial assets	15.6	33.1	46.9	58.7	88.1						
Intangible assets other than goodwill	1,018.9	1,046.6	1,448.2	1,441.1	1,617.2						
Goodwill	-	-	2,209.6	2,294.1	2,672.6						
Property, plant and equipment	9,489.9	10,730.3	12,919.6	12,501.8	10,065.3						
Net Invested Capital	2,141.6	6,445.2	11,987.5	12,506.9	10,756.1						
Net Surplus Assets											
"Held for sale" Non-current assets	146.8	276.1	485.2	5.8	291.1						
"Held for sale" Liabilities	-	-	-	-	(15.5)						
Net non-current assets (or disposal groups)	146.8	276.1	485.2	5.8	275.6						
Net Invested Capital + Net Surplus Assets	2,288.4	6,721.3	12,472.7	12,512.7	11,031.7						

- Airline Companies usually have negative working capital, as their cash conversion cycle is negative: they collect revenues in a short-time window (LATAM DSO < 55 days in 2021) if not in advance and pay suppliers with longer deadlines (LATAM DPO > 370 days in 2021)
- The decrease in Net Working capital during 2020 and 2021 results from the slow down in revenues due to travel restrictions, and the increase in account payables, due to renegotiations of payment deadlines with suppliers, following Chapter 11 Proceedings (*Notes 8,20 -2021*)
- In 2020, the company recognized an impairment for the total goodwill due to 1) increase in uncertainty, 2) increase in market interest rates, 3) fall in share price and 4) decrease in operations (*Note 16 - 2020*). PP&E and non-current financial liabilities decreased considerably in 2020 and 2021, due to the impossibility to lease aircrafts (derecognition of the assets and the liabilities associated with these aircrafts, *Note 17 -2021*)
- Equity Book Value is negative since retained losses, cumulated during 2020 and 2021, outset the amount of share capital (*Statement of changes in equity - 2021*)

(1) 35% classified as "resignation payments" and "other obligations": not interest-bearing, thus operating liabilities. 65% classified as "retirement payments": assumed to be invested in pension plans, thus financial liabilities.

INCOME STATEMENT BY VALUE ADDED

Year ended December 31,	2021	2020	2019	2018	2017	Year ended December 31,	2021	2020	2019	2018	2017
Data in US\$ millions, except per share and capital stock						Earnings per share					
Operating revenues						Net income (loss) for the year	(4,653.1)	(4,555.5)	195.6	341.8	154.4
Passenger	3,342.4	2,713.8	9,005.6	8,709.0	8,494.5	Average number of Shares	606,407,693	606,407,693	606,407,693	606,407,693	606,407,693
Cargo	1,541.6	1,209.9	1,064.4	1,186.5	1,119.4	Basic earnings (loss) per share (US\$)	(7.7)	(7.5)	0.3	0.5	0.2
Total operating revenues	4,884.0	3,923.7	10,070.1	9,895.5	9,613.9	Diluted earnings (loss) per share (US\$)	(7.7)	(7.5)	0.3	0.5	0.2
Other Operating Income	227.3	411.0	360.9	472.8	549.9						
Production Value achieved during the fiscal year	5,111.3	4,334.7	10,431.0	10,368.3	10,163.8						
✳ Aircraft fuel	(1,487.8)	(1,045.3)	(2,929.0)	(2,983.0)	(2,318.8)						
✳ Other rentals and landing fees	(755.2)	(720.0)	(1,275.9)	(1,206.9)	(1,233.6)						
Aircraft rentals	(120.6)	-	-	-	-						
Aircraft maintenance	(533.7)	(472.4)	(444.6)	(366.6)	(422.9)						
Commissions	(89.2)	(91.9)	(221.9)	(222.5)	(252.5)						
Passenger services	(77.4)	(97.7)	(261.3)	(280.3)	(288.7)						
Other operating expenses	(959.4)	(1,221.2)	(1,291.9)	(1,229.3)	(1,374.4)						
Total Value Added	1,088.0	686.2	4,006.4	4,079.6	4,272.9						
Salaries and wages	(825.8)	(850.6)	(1,478.8)	(1,481.4)	(1,604.6)						
Short-term employee benefits	(122.7)	(41.3)	(147.6)	(132.4)	(145.2)						
Termination benefits	-	-	-	(54.0)	(85.1)						
Other personnel expenses	(93.5)	(70.2)	(168.4)	(152.2)	(188.8)						
EBITDA	46.1	(275.9)	2,211.6	2,259.7	2,249.3						
Depreciation	(1,114.2)	(1,219.6)	(1,389.5)	(1,307.0)	(1,318.7)						
Amortization	(51.2)	(169.8)	(80.5)	(65.6)	(58.4)						
Operating Income	(1,119.3)	(1,665.3)	741.6	887.0	872.1						
Financial income	21.1	50.4	26.3	53.3	78.7						
Financial costs	(805.5)	(587.0)	(589.9)	(539.1)	(579.2)						
Exchange rate differences	131.4	(48.4)	(32.6)	(38.1)	(48.5)						
Result of indexation units	(5.4)	9.3	(15.0)	(0.9)	0.7						
Net result from non-core activities	30.7	(1,874.8)	11.5	53.5	(7.8)						
Gross operating profit from continuing	(1,747.0)	(4,115.7)	142.0	415.7	316.1						
Total Restructuring activities expenses	(2,337.2)	(990.0)	-	-	-						
Earnings before taxes	(4,084.2)	(5,105.8)	142.0	415.7	316.1						
Income (loss) tax expense/benefit	(568.9)	550.2	53.7	(73.9)	(159.0)						
Net (loss) income for the period	(4,653.1)	(4,555.6)	195.7	341.8	154.2						
Parent company's equity holders Income (Loss)	(4,647.5)	(4,545.9)	190.4	309.8	108.9						
Non-controlling interests Income (Loss)	(5.7)	(9.6)	5.2	32.0	45.5						
Net income (loss) for the year	(4,653.1)	(4,555.5)	195.6	341.8	154.4						

- Operating revenues (from passenger transport) decreased in 2020 and 2021 by 70% and 63% compared to 2019 respectively, due to travel restrictions. Conversely Cargo revenues increased, as demand soared: by converting passenger planes into air freighters, Latam plans to increase its capacity by 80% within 2023
- Variable operating costs, such as fuel and commissions, decreased with the drop in revenues, although less than proportionally. However, the burden of fixed operating expenses led to a fast depletion of Value Added: -83% in 2020 and -72% in 2021, respect to 2019
- Despite the sizeable reduction of more than 40% of personnel expenses, resulting from restructuring activities, EBITDA was negative in 2020 and extremely weak in 2021. Latam incurred in severe operating losses in 2020 and 2021 (D&A > 20% of the total cost structure)
- Filing for Ch.11 in 2020, financial costs grew by 37% in 2021, mainly driven by bank loan interests (Note 27 -2021). Due to the suspension of operations in 2020 caused by Sars-Cov-2, Latam recognized an impairment loss for the entire Goodwill on balance, which worsened its Gross Operating Profit in 2020 (Note 16 - 2020)
- In 2021 restructuring costs were primarily made by rejection of aircraft lease contracts. In accordance with bankruptcy rules, Latam rejected some unexpired aircraft and engine leases and derecognized these assets, resulting in losses for the value of the assets exceeding the lease liabilities and not yet amortized (Note 2 - 2021)
- Already threatened by the tough competition and the value chain structure, Latam levered profit margins dropped from a weak 1.4% in 2019 to -95% in 2020 and -34% in 2021, as revenues were far from full recovery and extraordinary costs expanded

CASH FLOW STATEMENT

Year ended December 31,	2021	2020	2019
Data in US\$ millions, except per share and capital stock			
Cash Flow From Operations			
(+) Net income (loss) to parent's shareholders	(4,647.5)	(4,545.9)	190.4
(+) Non cash expenses: Total D&A	1,165.4	1,389.4	1,470.0
(-) Change in Net Operating Workign Capital (1)	3,068.9	278.7	963.6
(=) Cash Flow From Operations	(413.2)	(2,877.8)	2,624.0
Investing activities			
(-) Net Capital Expenditure for Fixed Assets	102.7	3,411.2	(1,810.5)
(+) Disposals of asset and groups held for sale (2)	129.3	209.0	(479.4)
(-) Investments in financial assets	(33.4)	463.0	(103.7)
(=) Capital Expenditure	198.6	4,083.3	(2,393.6)
Financing activities			
(-) Common Equity Dividends paid (3)	0.0	0.0	(57.1)
(+) Change in debt financing	(457.4)	443.5	262.3
(+) Change in common equity financing (4)	26.7	(1,020.6)	(363.2)
(+) Change in Non-controlling interests	(3.7)	(5.1)	(81.5)
(=) Cash flow from financing activities	(434.4)	(582.2)	(239.5)
Delta cash balance	(649.0)	623.3	(9.1)

Levered-up by strong & negative WC

Influenced by decrease in aircraft leases

Two main drivers: 1) Debt financing & 2) Share repurchases

- (1) Assuming no required cash and assuming Employees benefits are part of operating liabilities
- (2) Net of cash flows from liabilities for groups held for sale
- (3) Statement of changes in shareholder's equity: total transaction with shareholders
- (4) Common equity financing is assumed to be Total Equity to parent's shareholders net of income and dividends

- Being a large corporation with investments in multiple countries, Latam has **unrealized gains and losses on assets** reported as other comprehensive income (i.e., **cash incomes or losses**, such as *gains on currency translation, cash flow hedges and gains by new measurement on defined benefit plans*. These items are considered in computing the statement of cash flow
- The main non-cash expense is **D&A**. *Changes in Net Operating working capital are calculated assuming no cash is required to run the operations*, as Latam reports **hedge derivatives** as Other current financial assets (Note 7) - **included in Working Capital**
- The **decrease in Net Working Capital in 2021** fiscal year was partially due to the **recovery of air passenger operations** (Latam has a negative cash conversion cycle). However, the *drop in Working Capital was extraordinary* even if compared to a "normal year" as 2019. The main drivers are **Accrued liabilities**, especially for aircraft, engine maintenance and fleet claims associated with the negotiations caused by Chapter 11 proceedings (Note 20)
- **Restructuring activities** through accrued liability management helped to **absorb most of the cash loss arising from comprehensive income**, resulting in a **negative Levered cash flow from operations**, which is less than 10% of the operating outflow in 2020
- In 2020, due to the process of Chapter 11, 29 **aircraft lease contracts were rejected**, which generated a **relevant cash inflow for the investing activities** and an **outflow for financing activities** (Note 17, 19)
- Total transactions with shareholders include mainly **dividends** and **share repurchases**. **Cash flow from debt financing is positive** in 2020, for the large amount of **bank loans raised** together with Chapter 11 process, whereas it is **negative** in 2021 due to further aircraft lease rejections (Note 19).
- The **change in cash balance** was **negative** in 2021, as divestitures cannot cover cash absorption by operating and financing activities, while in 2020 inflows from investing activities together with increased debt financing offset outflows from operations (**Cash balance > 0**).

RATIO ANALYSIS

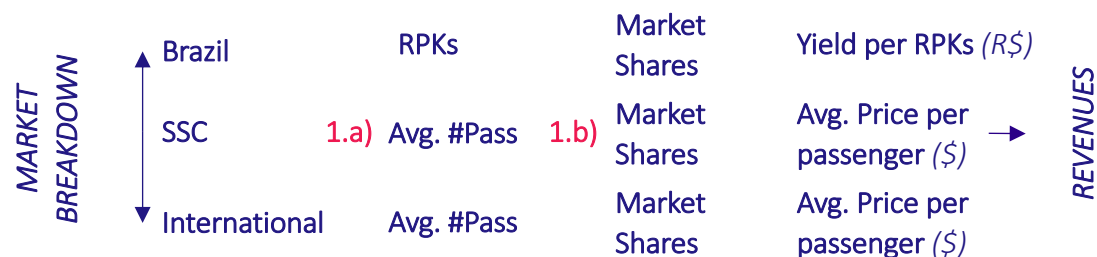
FINANCIAL RATIOS						INDUSTRY SPECIFIC KPIs					
	2021	2020	2019	2018	2017		2021	2020	2019	2018	2017
PROFITABILITY						PASSENGER					
ROIC	-26.1% ↓	-18.1% ↓	6.1% ↓	7.6% ↓	7.8%	ASKs (mln)	67635.7 ↓	55718.2 ↓	149112.4 ↑	143264.7 ↑	136398.4
ROA	-7.7% ↑	-9.1% ↓	3.6% ↓	4.6% =	4.6%	RPKs (mln)	50316.5 ↑	42624.4 ↓	124521.3 ↑	119077.4 ↑	115692.7
Profit Margin	-21.9% ↑	-38.4% ↓	7.1% ↓	8.6% =	8.6%	Load Factor (on ASKs)	0.7 ↓	0.8 =	0.8 =	0.8 =	0.8
Levered Profit Margin	-34.2% ↑	-94.9% ↓	1.4% ↓	4.0% ↑	3.1%	Fuel gallons Cons. (mln)	677.1 ↑	577.8 ↓	1272.7 ↑	1205.2 ↑	1156.1
Asset Turnover	35.3% ↑	23.6% ↓	50.7% ↓	53.3% ↓	53.5%	Rev. per ASKs (Cents)	4.9 =	4.9 ↓	6.0 ↓	6.1 ↓	6.2
COST STRUCTURE						CARGO					
Operating expense	78.7% ↓	84.2% ↑	61.6% ↑	60.7% ↑	58.0%	ATKs (mln)	4788.1 ↑	4708.3 ↓	6356.7 ↓	6497.6 ↑	6230.3
Personnel expense	20.4% ↓	22.2% ↑	17.2% ↓	17.6% ↓	19.9%	RTKs (mln)	3034.9 ↓	3077.8 ↓	3526.0 ↓	3582.5 ↑	3421.3
D&A Expense	22.8% ↓	32.1% ↑	14.1% ↑	13.2% ↓	13.5%	Load Factor (on ATKs)	0.6 ↓	0.7 ↑	0.6 =	0.6 ↑	0.5
Net PP&A turnover	50.6% ↑	36.7% ↓	82.1% ↓	91.9% ↓	98.9%	Tons transported (000')	801.5 ↓	816.6 ↓	903.8 ↓	920.6 ↑	895.9
Useful Life (Net PP&A)	9.07 ↓	9.70 ↑	9.15 ↑	8.63 ↑	7.80	Rev. per ATKs (Cents)	32.2 ↑	25.7 ↑	16.7 ↓	18.0 =	18.0
WC MANAGEMENT						COSTS					
DPO ⁽¹⁾	376.78 ↑	290.90 ↑	143.33 ↑	127.72 ↓	128.46	Costs per ASKs (Cents)	9.2 ↓	10.8 ↑	6.5 ↓	6.6 ↓	6.9
DIO	27.71 ↓	33.90 ↑	18.00 ↑	14.97 ↑	14.81	Costs per ASKs (ex-fuel)	7.0 ↓	8.9 ↑	4.5 =	4.5 ↓	5.2
DSO	54.24 ↓	78.30 ↑	42.29 ↑	42.05 ↑	41.96						
LIQUIDITY & SOLVENCY											
Current ratio	0.21 ↓	0.42 ↓	0.58 ↑	0.55 ↓	0.64	Marginal Tax Rate	27%	27%	27%	27%	27%
Quick ratio	0.18 ↓	0.33 ↓	0.45 ↓	0.49 ↓	0.54	Effective Tax Rate	13.9%	-10.8%	37.8%	-17.8%	-50.3%
TD/TA	1.53 ↑	1.16 ↑	0.85 ↑	0.83 ↑	0.77						
NFP/IC	4.09 ↑	1.36 ↑	0.75 ↑	0.73 ↑	0.61						
EBIT ICR	-1.39 ↑	-2.84 ↓	1.26 ↓	1.65 ↑	1.51						

⁽¹⁾Purchases are quite difficult to estimate, we assume those equal to total operating expenses

Sources: Company's annual reports, Publicly available spreadsheets on LATAM SA website

4. VALUATION ASSUMPTIONS AND FORECASTS

REVENUE BREAKDOWN (1/2)



1.a) MARKET LEVEL FORECAST

PASSENGER FLIGHTS

- i. **Brazil:** Regressed quarterly $\ln(RPKs)$ over quarterly $\ln(Y_{t-1})$, where Y is the real GDP, and $\ln(Jet\ Fuel\ Price_{t-1})$ to find elasticities $\epsilon_1 = 3.62, \epsilon_2 = -0.19$. Since the time series are cointegrated and the model fit correctly the data ($R^2 = 0.963$), this model is employed to forecast total RPKs for Brazil with the following estimates:

- i. Real GDP Brazil= 1% growth rate
- ii. Jet Fuel estimates below (*Jet Fuel \$ per Gallon Table*)

- ii. **SSC:** Regressed yearly $\ln(\text{Number of Passengers})$ over yearly $\ln(Y_t)$, where Y is the real GDP of SSC, and over $\ln(\text{Jet Fuel Price}_t)$ to find elasticities: $\varepsilon_1 = 2.44$, $\varepsilon_2 = -0.35$. Since the time series are cointegrated and the model fit correctly the data ($R^2 = 0.984$) this model is employed to forecast total passengers for SSC with the following estimates:

- i. Real GDP SSC= 1% growth rate
- ii. Jet Fuel estimates below (*Jet Fuel \$ per Gallon Table*)

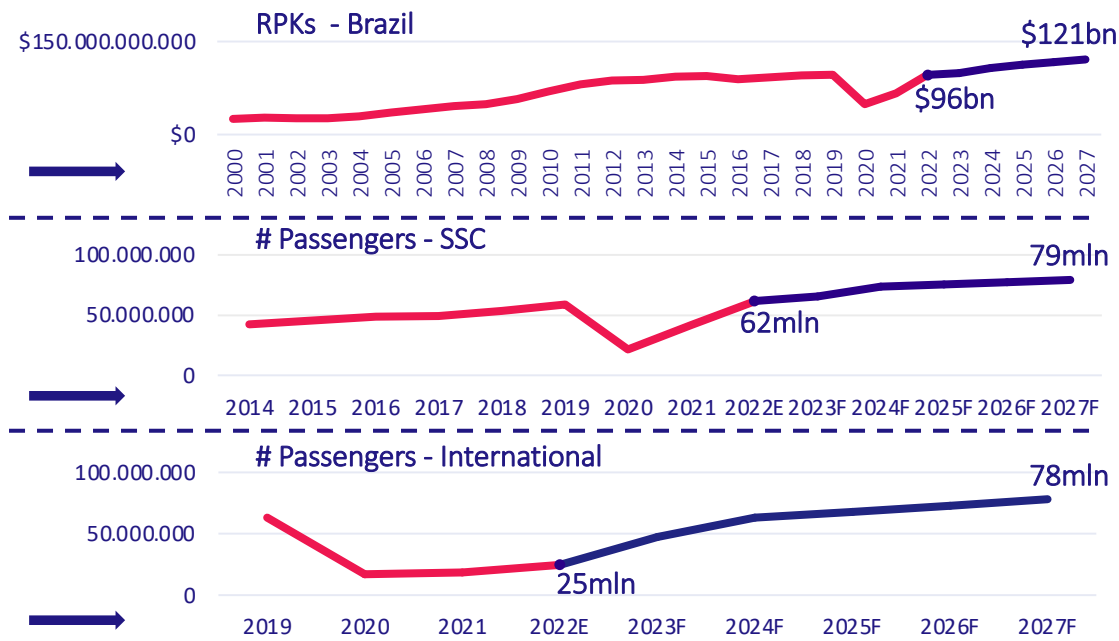
- iii. **International:** Due to the uncertainty of the estimate, a **2,7% CAGR (2019-2028)** is applied (as in industry reports (IATA) and LATAM updated Business plan (August 2022)) to the number of passengers. We forecast full recovery of the international sector in 2023, due to:

- i. Travel restriction are lifted by 2023
- ii. A structural gap of 15% in business travel persists among the forecast horizon (2022-2027)

Jet fuel \$ per Gallon	2019	2020	2021	2022E	2023F	2024F	2025F	2026F	2027F
	1.86	1.1	1.69	3.43	3.1	2.38	2.38	2.38	2.38

TRENDS

Key ratios implied by the models – market figures	Brazil	SSC	International
Market recovery rate 2019 (pre-pandemic) vs. 2022	97.87%	104.88%	68.75%
CAGR 2022-2027, 5 years	4.70%	5.13%	15.59%
CAGR 8 years 2019-2028, Company's Estimate	4.10%	4.10%	4.10%
CAGR 8 years 2019-2028, own estimates	3.35%	3.79%	4.47%



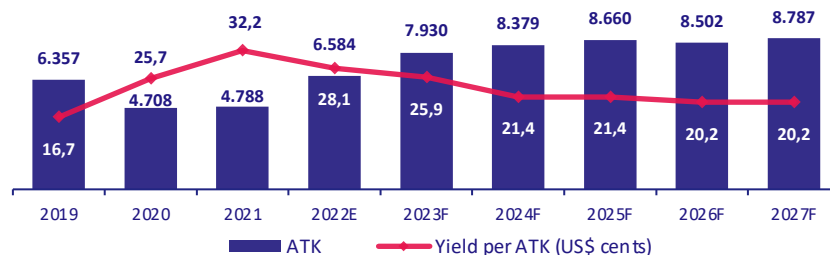
REVENUE BREAKDOWN (2/2)

1.b) MARKET SHARES

- **Brazil:** assuming Latam and its LCC Brazilian competitors will keep their actual RPKs as of 2021 (they operate in slightly different segments), *their future market share will be driven by their contribution to the market growth*. This contribution is estimated by a **backward-looking smoothed average**, reduced by a **future competition factor**
- **Spanish Speaking Countries:** assuming Latam, Avianca and their LCC competitors will keep their actual Number of Passengers as of 2021 (they partially differ in value proposition) *their future market share will be driven by their contribution to the market growth*. This contribution is estimated by a **backward-looking smoothed average**
- **International:** assuming Latam will benefit from the Joint Venture with Delta (*it is the first mover to propose such a close alliance and shares with Delta, an extremely affine airlines' value proposition*), Latam is expected to **gain a total of 7% of the International South American Market** within **2025**. Eventually, LATAM will stabilize due to the rise of the new LCC group Abra and other alliances between North and South American airlines

CARGO TRANSPORT: ATK and YIELD per ATK

- LATAM will expand its cargo-dedicated fleet its capacity by nearly 80% within 2023, due to the **roaring export of Latin America countries** (+53%), caused by the appreciation of the dollar
- Since 2021, **Air cargo has temporarily benefited from a significant price advantage over maritime cargo** (fees have risen more sharply because of the "container shortage" worldwide).
- **Regressed the future Yield per ATK** using the **forward price of fuel** and the **expected mix of cargo** that, according to the fleet declared by LATAM, will be 35% and 65% in 2027 respectively

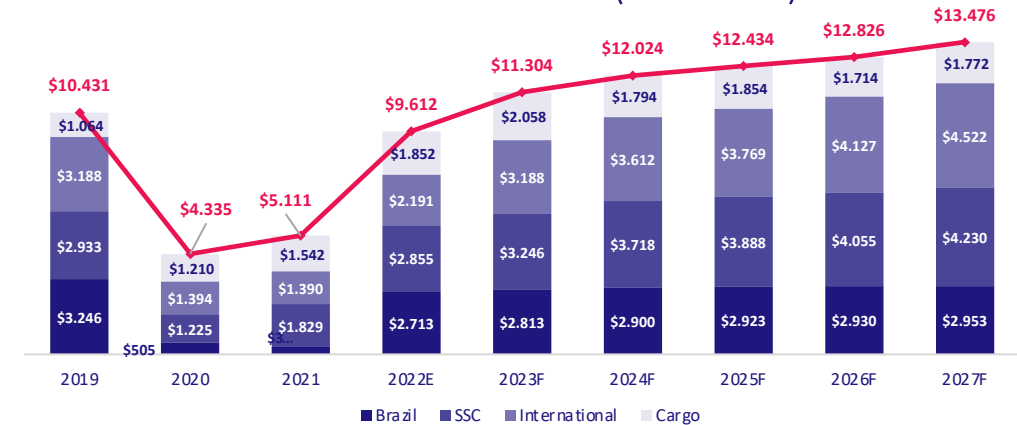


REVENUE FORECASTS

USD mln	2022E	2023F	2024F	2025F	2026F	2027F
Latam BP	9,655	11,458	11,407	12,252	13,069	13,853
Own estimates	9,612	11,304	12,024	12,434	12,826	13,476

- **Brazil:** yield per RPKs is considered constant in real terms and has been set to the mean level of 2019-2017. Brazil revenues have been estimated in local currency (R\$) and then converted using futures over the exchange rate
- **SSC:** average real price per passenger linearly increase from 108.98 (2019) to 117.38, a median value between 2019 and 2021. Year 2020 has been excluded since travel restrictions affected the significance of this metric
- **International:** International average price per passenger exponentially decrease till 2025 where, due to the increase in volumes of sales, stabilizes to 172.8 (2019 value)

Revenues forecasted breakdown (in USD millions)



The percentage revenues represented by the international market in 2022 is expected to be 28% of total revenues, due to the slow recovery of the international market

COSTS & REINVESTMENT NEEDS FORECAST

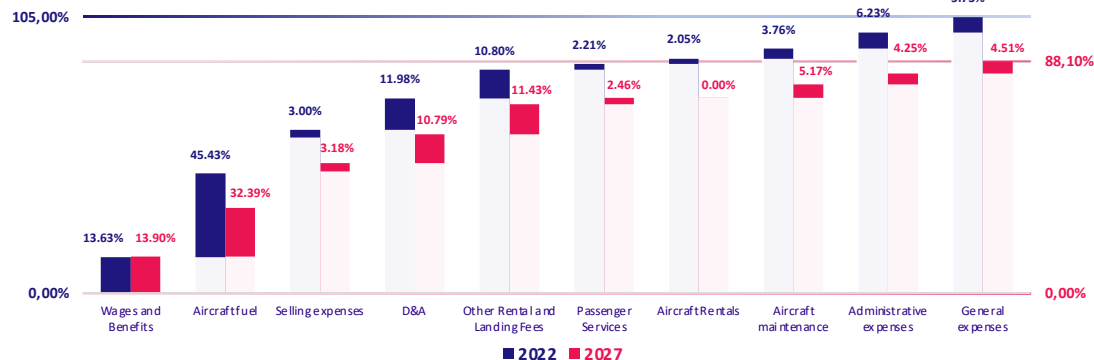
COST FORECASTS

USD mln	2022E	2023F	2024F	2025F	2026F	2027F
Latam BP	9,866	10,815	10,372	10,955	11,519	12,171
Own estimates	10,076	10,902	10,609	10,953	11,531	11,869

Every cost item is calculated according to specific assumptions:

- **Wages and benefits:** 2022 value = 73% of 2019 value; then (Volume of sales XXX year)/(Volume of sales 2022)
- **Aircraft Fuel:** (Volume of sales XXX year)/(Volume of sales 2019)*(Jet prices of XXX year)/Jet prices 2019)
- **Selling Expenses, Aircraft rentals, Passengers services, Other rentals and landing fees** driven by the volume of sales
- **Depreciation and amortization:** With the P.P.E. schedule and declared coefficients of depreciation and amortization (*Integrated Report 2021, Note 15-16*)
- **General expenses:** constant in real terms
- **Administrative expenses:** High variability in time series analysis; now at 59.7% of pre Sars-Cov-2 outbreak level. Considered to gradually ramp up proportionally to sales

Costs % on revenues – 2022 vs 2027

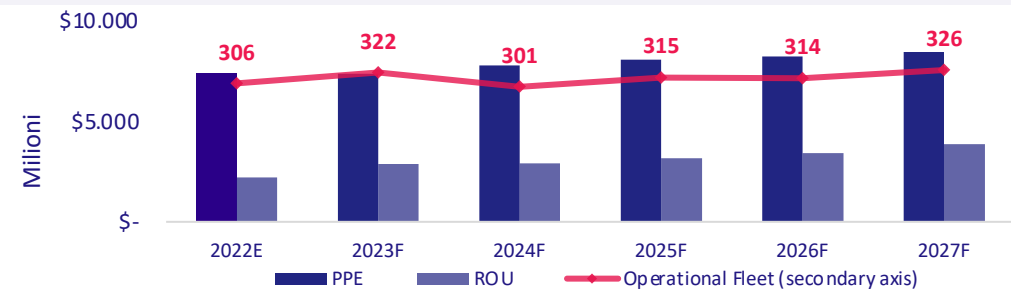


CAPEX

Item (US\$ Millions)	2022E	2023F	2024F	2025F	2026F	2027F
Construction in progress	474	474	474	474	474	474
Land	43	43	43	43	43	43
Buildings	60	60	60	60	60	60
Plant and equipment	6,562	6,562	6,562	6,562	6,562	6,562
Machinery	4	5	6	6	6	6
ITE	17	19	22	23	24	25
Fixed installations and accessories	49	56	65	67	70	72
Motor vehicles	5	6	7	8	8	8
Leasehold improvements	133	133	133	133	133	133
Subtotal PPE	7,215	7,226	7,239	7,244	7,247	7,251
ROU and other assets	2,189	2,884	2,903	3,170	3,404	3,848
Total	9,404	10,110	10,142	10,414	10,651	11,100

To compute **capex** and **depreciation** we estimated the **P.P.E. schedule**

- Some items are considered fixed in terms of net carrying amount, while others have a varying net carrying amount that moves along with the volumes of sales
- LATAM asserts that new aircrafts will be acquired only as R.O.U. Since the **non-cash fleet capex** is declared (*Updated Business Plan, August 2022*) and there is a precommitment on sales of aircrafts to be received between 2022 and 2029 (*Integrated Report 2021 - Note 16*), the computations are performed according to the **Company's declared acquisition program of ROU**, while spare parts and capitalizations of extraordinary maintenance (e.g., Cabin retrofit in 2024) have been considered in P.P.E



FORECAST: PRO_FORMA BS & IS

INCOME STATEMENT

	2022	2023	2024	2025	2026	2027
Data in US\$ millions, except per share and capital stock						
TOTAL OPERATING REVENUES	9.612,3	11.304,1	12.023,7	12.434,0	12.826,3	13.475,7
EXPENSES						
TOTAL OPERATING EXPENSES	(10.076,0)	(10.901,6)	(10.608,9)	(10.952,9)	(11.531,7)	(11.869,3)
OPERATING INCOME (LOSS)	(463,7)	402,5	1.414,8	1.481,1	1.294,5	1.606,4
Operating Margin	-4,8%	3,6%	11,8%	11,9%	10,1%	11,9%
EBITDAR	884,8	1.727,8	2.696,9	2.792,1	2.675,6	3.060,1
EBITDAR margin	9,2%	15,3%	22,4%	22,5%	20,9%	22,7%
EBITDA	687,8	1.618,8	2.681,9	2.792,1	2.675,6	3.060,1
EBITDA Margin	7,2%	14,3%	22,3%	22,5%	20,9%	22,7%
EBIT	(463,7)	402,5	1.414,8	1.481,1	1.294,5	1.606,4
EBIT Margin	-4,8%	3,6%	11,8%	11,9%	10,1%	11,9%
Interest Expense Gross	(790,4)	(906,9)	(886,5)	(879,3)	(868,5)	(878,0)
PROFIT BEFORE TAX AND MINORITY INTEREST	(1.254,1)	(504,4)	528,3	601,9	426,1	728,4
Income Tax Expense	326,1	131,2	(137,4)	(156,5)	(110,8)	(189,4)
Profit	(928,0)	(373,3)	390,9	445,4	315,3	539,0

BALANCE SHEET

	2022	2023	2024	2025	2026	2027
Data in US\$ millions, except per share and capital stock						
NET ASSETS						
Net Working Capital	-2,418	-2,597	-2,553	-2,637	-2,819	-2,884
P.P.E.	9,404	10,110	10,142	10,414	10,651	11,100
Intangible Assets other than Goodwill	1,019	1,019	1,019	1,019	1,019	1,019
Net Invested Capital	8,005	8,532	8,608	8,796	8,851	9,234
Net Surplus Assets	0	0	0	0	0	0
NIC + Net Surplus Assets	8,005	8,532	8,608	8,796	8,851	9,234
TOTAL EQUITY	2,343	2,114	2,416	2,708	2,871	3,214
NET FINANCIAL POSITION						
Total Financial Liabilities	6,886	7,901	7,723	7,660	7,566	7,649
Cash and cash equivalents	-1,224	-1,484	-1,531	-1,572	-1,586	-1,628
Net Financial Position	5,662	6,418	6,192	6,088	5,980	6,021
Equity+Net Financial Position	8,005	8,532	8,608	8,796	8,851	9,234

GENERAL COMMENT

Income Statement

Mainly due to an incomplete rebound of international air travel, Revenues in 2022 are still lower than Operating costs, leading to a negative operating margin. In the next 5 years of explicit forecast the profit margin rapidly stabilized around 10-12% indicating the ability of Latam operations to generate profits and cash, as demonstrated by EBITDA margins

Due to the burden and variability of financial expenses, Net Profits are slower to recover and less stable

Balance Sheet

The main component of Invested Capital are P.P.E., whose growth is given by purchases of right of use assets, and is constant over the explicit forecast period, consistently with a sustained revenue growth

Assuming Latam keep a relatively constant excess cash, the increase in Net Financial position is due to Total financial liabilities, whose changes are mainly driven by lease liabilities

THE TREATMENT OF WORKING CAPITAL

MAIN RATIOS (in days)

DRR	DSO	DIO	DPO
125.8	44.5	15.9	126.3

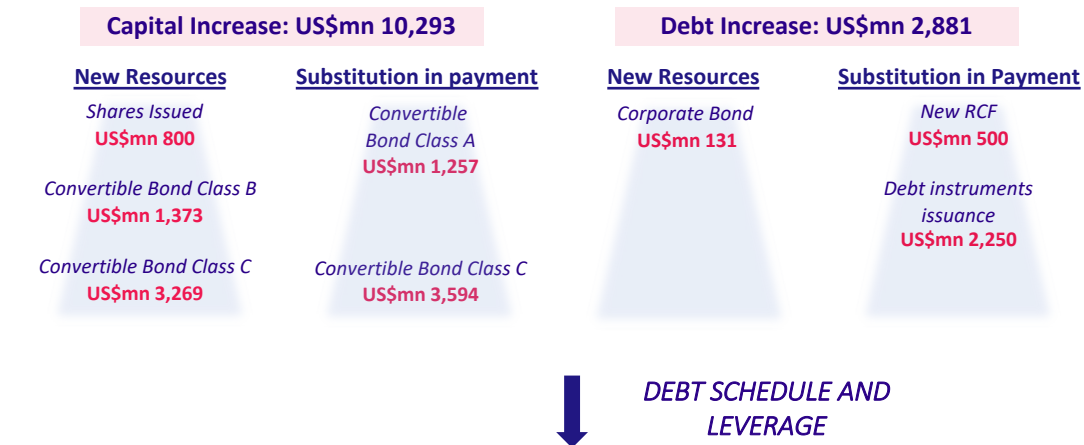
- Deferred revenues: 1)** tickets sold for which the service has not yet been provided and **2)** frequent flyer LATAM Pass program - related to passenger revenues
- Trade receivables** originate mostly from Cargo segment and Corporate program. We calculated the **gross value of receivables**, then **subtracted the expected credit loss**, consistent at 7% of receivables
- Payables have spiked in the last two years**, according to the **Reorganization Plan**: LATAM will issue convertible bonds to settle the “excessive” portion of its payables by a total of 4,561 USD million
- The ratios in the table are the **average annual metrics**, excluding the last 2 fiscal years since they are not reliable to provide a **forward-looking assessment** of the main drivers of the future WC

5. THE COST OF CAPITAL

METHODOLOGY (1/3)

Year ended December,		2018	2019	2020	2021	2022E	2023F	2024F	2025F	2026F	2027F
Data in US\$ millions											
CASH FLOW STATEMENT											
Unlevered operating FCF						-1,642	-261	963	899	919	835
Interest expenses cash outflow	(5)					-791	-908	-888	-881	-871	-881
Tax shield on interest expenses						206	236	231	229	226	229
Levered FCF		864	2,445	-3,904	-387	-2,227	-933	305	247	275	183
CF from debt financing		-	-265	707	-457	-3,512	1,023	-176	-59	-91	86
CF from equity financing		-55	-57	0	0	5,731	0	0	0	0	0
FCFF		-	2,123	-3,197	-844	-8	90	130	188	184	269
FINANCIAL LIABILITIES											
Loans to exporters		401	341	152	159	161	196	202	207	209	215
Bank loans	(1)	223	217	525	522	98	98	98	98	98	98
Guaranteed obligations		3,207	2,738	3,258	3,236	2,572	2,742	2,660	2,513	2,343	2,116
Subtotal bank loans		3,831	3,296	3,935	3,917	2,832	3,036	2,960	2,818	2,650	2,429
Obligation with the public		1,553	2,065	2,183	2,253	0	0	0	0	0	0
Financial leases & Lease liabilities	(3)	4,746	4,639	4,736	4,150	3,977	4,796	4,696	4,779	4,856	5,163
Other loans		253	101	0	77	81	81	81	81	81	81
Hedge and other derivatives		34	50.4	5.7	5.7	0.3	0.3	0.3	0.3	0.3	0.3
Total Financial Liabilities		10,417	10,153	10,860	10,402	6,890	7,913	7,738	7,679	7,588	7,673
Cash flow from debt financing						-3,512	1,023	-176	-59	-91	86
Cost of debt pre tax						11.48%	11.48%	11.48%	11.48%	11.48%	11.48%
Total Financial Expenses			590	587	806	791	908	888	881	871	881
EQUITY											
Parent share capital	(2)	3,146	3,146	3,146	3,146	3,604	3,604	3,604	3,604	3,604	3,604
Parent retained earnings/(losses)		219	352	-4,194	-8,841	-885	-1,242	-871	-447	-148	364
Parent treasury shares		0	0	0	0	0	0	0	0	0	0
Parent other reserves		-4	-368	-1,388	-1,362	-368	-368	-368	-368	-368	-368
Total Parent Equity		3,361	3,131	-2,436	-7,057	2,351	1,994	2,366	2,789	3,088	3,600
Total non controlling interests		80	-2	-7	-10	-53	-71	-53	-32	-18	7
Total Equity		3,441	3,129	-2,442	-7,067	2,298	1,924	2,313	2,757	3,071	3,608
INCOME STATEMENT											
Net income		342	196	-4,556	-4,653	-928	-374	390	444	313	537
Retained earnings (Loss)		287	139	-4,556	-4,653	-885	-357	372	423	299	512
Dividends		55	57	0	0	0	0	0	0	0	0
CASH BALANCE											
Cash before debt repayment		1,082	1,073	1,696	1,047	1,039	1,314	1,613	1,720	1,756	1,855
Excess cash target	(4)					1,224	1,484	1,531	1,572	1,586	1,628
Cash available for debt repayment						-185	-170	82	147	170	227
CAPITAL STRUCTURE											
Net Debt		9,336	9,080	9,164	9,355	5,666	6,430	6,206	6,106	6,001	6,045
Net Debt / EBITDAR						6.4	3.72	2.3	2.19	2.24	1.98

CAPITAL STRUCTURE ADJUSTMENTS



- (1) With injected financial resources Latam will pay down most of its obligations, except “**Other guaranteed obligations**” which include new debt issued
- (2) By the capital increase resolved by the extraordinary shareholders' meeting of 5th July 2022, it is highly probable that Latam will cover retained losses and part of negative reserves
- (3) **Operating and Financing leases** are expected to **grow** with the gross value of Right of Use assets net of lease liabilities repayments
- (4) Latam is expected to hold an excess cash on balance sheet and repay other guaranteed debt loans
- (5) **Interest expenses** are calculated on total liabilities with pre-tax cost of debt and are included, through iterative formulas, in the Levered FCF

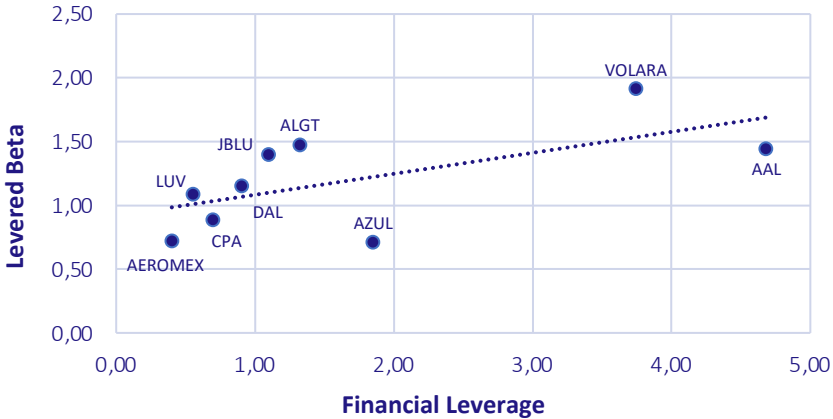
LATAM financial leverage has been defined as the **expected book value of net debt in 2022**, proxy of its net debt market value, **divided by the market value of equity as of 18 november 2022**. It has been assumed the ratio between the two figures will remain constant, even if the absolute value of the figures could change

METHODOLOGY (2/3)

COST OF EQUITY

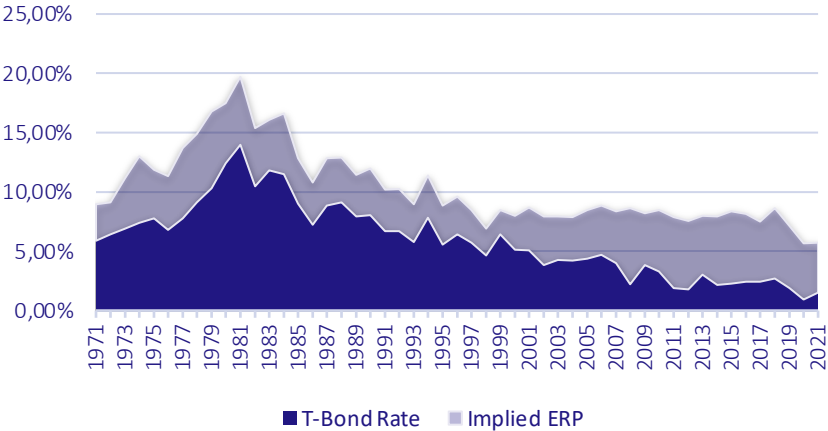
BOTTOM-UP BETA ESTIMATION

- The **levered beta** of LATAM has been estimated with the **Bottom-Up Beta approach**
- First, the **levered beta** of each comparable has been estimated with the **CAPM**, regressing the monthly returns of the stock over the last five years against the returns of the S&P 500, proxy of the market portfolio
- Then, the levered beta of the comparable has been **unlevered** using its financial leverage computed at the last available date (3Q 2022): the unlevering has been calculated with the assumption of **fixed debt with respect to the capital structure**, and not fixed in currency terms
- Subsequently, the **median unlevered beta** of the comparables, **0.52**, has been used as the **LATAM unlevered beta**
- At the end, the unlevered beta of LATAM has been levered with its **financial leverage** of **1.61**, yielding a **levered beta for LATAM** of **1.36**



EQUITY RISK PREMIUM

- The **equity risk premium** attributable to LATAM has been divided into two components: 1) the equity risk premium of the US stock market and 2) the country risk premium of Chile
- **Assumption:** LATAM risk exposure is proportional to country risk and all other market risks, measured by its beta (i.e. $\beta=\lambda$)
- To estimate the US equity risk premium, the **implied equity risk premium** of the US stock market has been regressed against the **10Y US T-bond rate** (annual data over the last 50 years)
- Given the current rate of 4.05% on a 10Y US T-bond (as of start of november 2022), the regression provides an estimate of the **US equity risk premium** of **4.48%**
- Given Chile's country risk premium of 0.99%, the **equity risk premium referable to LATAM** is **5.47%**



METHODOLOGY (3/3)

COST OF DEBT

LATAM has the following ratings:

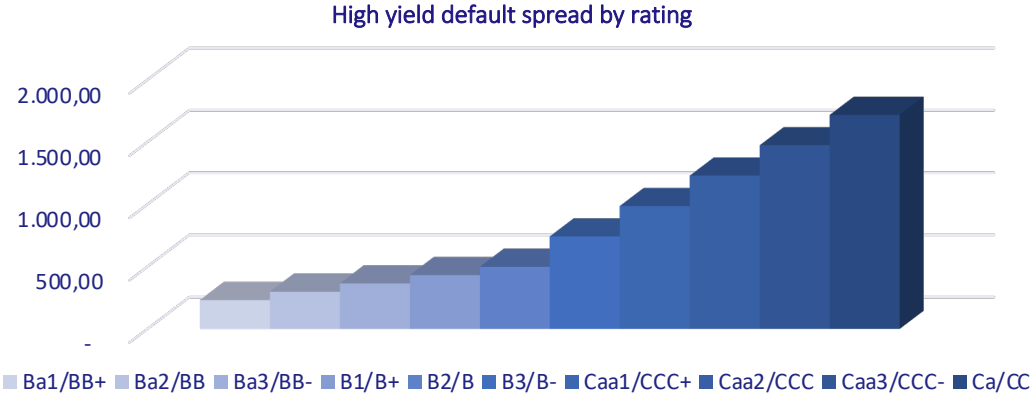
- ❖ Moody's: **B2**
- ❖ S&P Global Ratings: **B-**
- ❖ Fitch: **B-**

The associated **corporate default spread** for a firm with the same S&P Global Rating and Fitch rating is **742.85 bps**

The **cost of debt pre tax** of LATAM, calculated as the **sum** of the **risk free rate** and the **corporate default spread** of a **B-** rated firm, is **11.48%**.

The **tax rate** used to compute the cost of debt after tax is Chile's marginal tax rate of **27%**

The **cost of debt after tax** of LATAM is **8.38%**



COST OF CAPITAL

$$k_e = r_f + \beta_{levered} (ERP_{US} + CRP_{CHILE}) = 11.48\%$$

$$k_d = r_f + \text{default spread}_{LATAM} = 11.48\%$$

$$\text{Capital structure} = 0.62$$

$$WACC = k_e \frac{E}{(D + E)} + k_d (1 - t_c) \frac{D}{(D + E)} = 11.48\% * 0.38 + (1 - 27\%) * 11.48\% * 0.62 = 9.57\%$$

- **Sensitivity analysis** has been implemented to get a glimpse on how the cost of capital varies according to **changes in levered beta** and **capital structure**, defined as **debt out of total capital**
- The **sky blue area** ($1.26 < \beta_{levered} < 1.46$ and $57\% < \frac{D}{D+E} < 67\%$) shows little variation
- The cost of capital estimation is not greatly influenced by an eventual bias in the estimation of the parameters, and still consistent

		Capital structure						
$\beta_{LEVERED}$	WACC	54%	57%	59%	62%	64%	67%	69%
	1.21	9.43%	9.37%	9.31%	9.26%	9.20%	9.14%	9.08%
	1.26	9.55%	9.49%	9.42%	9.36%	9.30%	9.23%	9.17%
	1.31	9.68%	9.61%	9.54%	9.47%	9.39%	9.32%	9.25%
	1.36	9.80%	9.73%	9.65%	9.57%	9.49%	9.41%	9.34%
	1.41	9.93%	9.84%	9.76%	9.67%	9.59%	9.51%	9.42%
	1.46	10.05%	9.96%	9.87%	9.78%	9.69%	9.60%	9.51%
	1.51	10.18%	10.08%	9.98%	9.88%	9.79%	9.69%	9.59%

6. MULTIPLES VALUATION

MULTIPLES VALUATION (1/3)

MULTIPLES RATIONALE: GENERAL OVERVIEW

	<i>Latam Airlines SA⁽¹⁾</i>	<i>Industrials⁽¹⁾</i>		<i>Passenger transportation⁽¹⁾</i>	
	<i>T12M</i>	<i>Median (T12M)</i>	<i>Mean (T12M)</i>	<i>Median (T12M)</i>	<i>Mean (T12M)</i>
EV/Sales	1.3x	1.4x	2.3x	2.1x	1.6x
EV/EBITDA	12.3x	6.1x	-11.3x	10.1x	7.4x
P/E	N/A	7.5x	11.2x	5.7x	-0.1x
Price/Book	-0.01x	1.1x	1.9x	1.7x	1.2x

- ✗ **Equity-side multiples** are not useful since they are strongly biased by weak/negative results of airline companies
- ✗ **EV/EBITDAR**, one of the metrics used in multiples valuation for airlines, cannot be used, due to different and discretionary treatment of restructuring/rental costs
- ✗ **Latam Latin America comparables** faced strong challenges during and immediately after the pandemic. A sample including only these companies would result in an extremely conservative (and even illogical) valuation, given the Company's forecasts and projections

- ✓ **Asset-side multiples** provide useful results, even though it is necessary to take into account the **bias of weak results** which provide an overestimate of the trading multiples
- ✓ For this reason, **NTM multiples** are provided for the **EV/EBITDA** and **EV/Sales**
- ✓ **Forward multiples** confirm the view that (extremely high) current multiples:
 - are consistent with the fact that airlines companies are recovering from negative results, and finally manage to show positive results
 - do not provide a «steady-state» assessment

CROSS-SECTION APPROACH TO ESTIMATE EV/EBITDA MULTIPLE

In this section a cross-section of the **EV/EBITDA** on the **TIER 1 Financials** is performed

A cautious interpretation of the results is necessary due to several factors:

- **Tax rate** - positive expected sign: for most companies in the sample DA/EBITDA is very high and the average is 1.34
- **DA/EBITDA & NET CAPEX/EBITDA** – uncertain expected sign: DA/EBITDA, as mentioned above, shows extremely anomalous values, whereas the second ratio is strongly influenced by negative changes in WC
- Results are similar when excluding the third regressor: EV/EBITDA Pred. = 12.60x

$$\frac{EV}{EBITDA_{LTM}} = -10.9666 + 59.4635 * Tax Rate + 6.3015 * \left(\frac{DA}{EBITDA}\right) + 0.1991 * \left(\frac{NET CAPEX}{EBITDA}\right) \quad R^2 = 98\%$$

↑
27%

↑
1.19

↑
-2.82

Beware that EV/EBITDA vary widely across firms, most of them show negative net capex and volatile reinvestment structure, the above-computed regression yield the following result:

$$Predicted \left(\frac{EV}{EBITDA_{LTM}} \right)_{LATAM} = 12.01x$$

⁽¹⁾Data downloaded 17/11/2022; any subsequent variation (present in the valuation) is specified accordingly; (Sub-)sector multiples refer to Latin American corporations

MULTIPLES VALUATION (2/3)

COMPARABLES OVERVIEW

#5 Criteria

1) Cash Flow Generating Potential

2) Growth Projections

3) Risk Assessment

4) Hybrid Model

5) Geographic Area

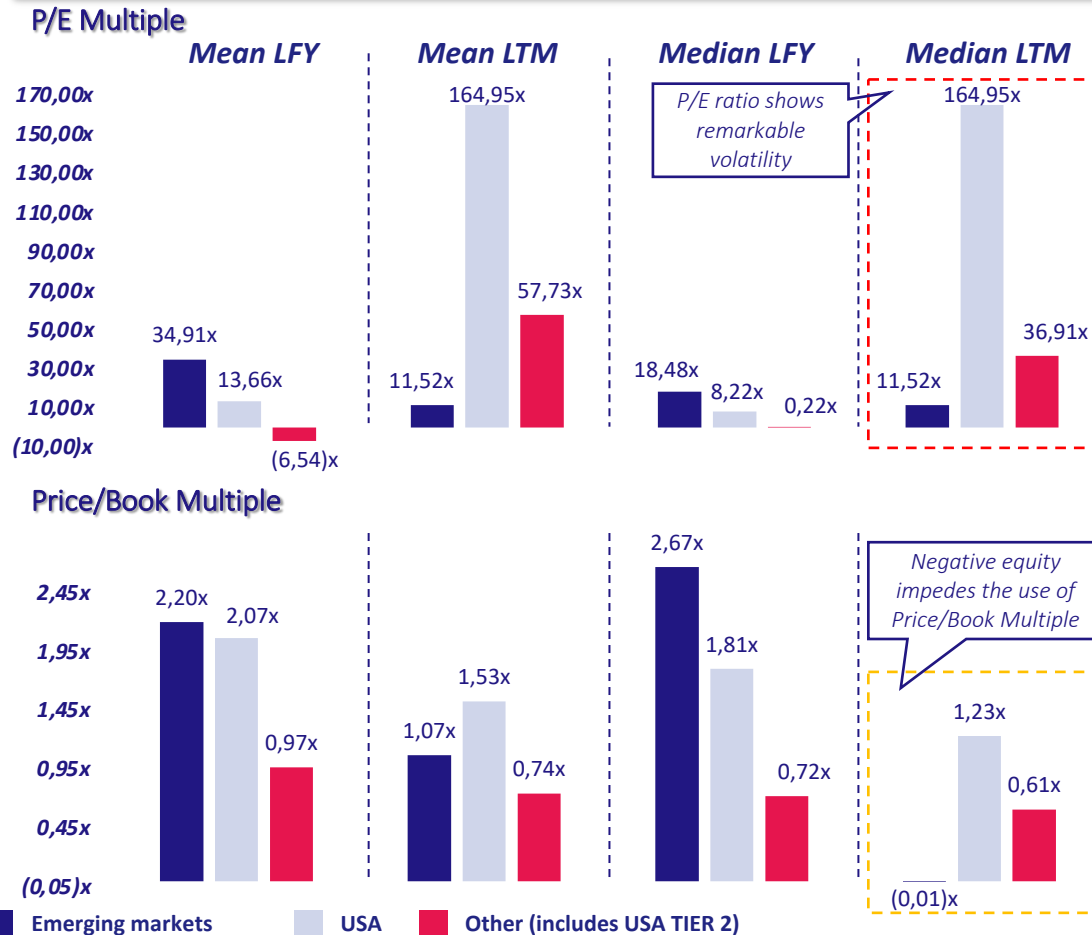
Company	Country	TIER	EV/ EBITDA (NTM)	EV/ EBITDA (LTM)	EV/ Sales (NTM)	EV/ Sales (LTM)	P/E (LTM)	Price/ Book (LTM)
LATAM		1	N/A	12.31x	N/A	1.29x	N/A	-0.01x
Azul		1	4.70x	13.97x	1.35x	1.89x	N/A	-0.25x
Grupo AEROMEXICO		1	6.64x	36.68x	1.09x	1.14x	N/A	-1.34x
volaris		1	0.40x	6.36x	0.10x	1.23x	N/A	4.66x
Copa Airlines		1	5.17x	7.39x	1.28x	1.78x	11.52x	2.29x
Southwest		1	4.33x	5.95x	0.66x	0.77x	29.84x	2.06x
jetBlue		1	4.26x	23.25x	0.43x	0.49x	N/A	0.73x
allegiant		1	5.84x	8.96x	0.99x	1.13x	N/A	1.23x
DELTA		1	5.37x	8.18x	0.73x	0.79x	300.06x	4.77x
American Airlines Group		1	7.70x	16.46x	0.69x	0.77x	N/A	-1.16x

Company	Country	TIER	EV/ EBITDA (NTM)	EV/ EBITDA (LTM)	EV/ Sales (NTM)	EV/ Sales (LTM)	P/E (LTM)	Price/ Book (LTM)
CATHAY PACIFIC		2	6.31x	9.95x	1.36x	2.37x	N/A	0.71x
AIR FRANCE		2	2.99x	3.00x	0.39x	0.45x	N/A	-0.97
RYANAIR		2	6.55x	15.57x	1.30x	2.12x	66.69x	2.33x
Alaska Air Group		2	3.39x	5.07x	0.48x	0.54x	154.52x	1.51x
SKYWEST INCORPORATED		2	4.66x	5.01x	1.06x	1.06x	7.13x	0.37x
Harbor Diversified		2	N/A	0.47x	N/A	0.15x	2.47x	0.51x
			EV/ EBITDA (NTM)	EV/ EBITDA (LTM)	EV/Sales (NTM)	EV/ Sales (LTM)	P/E (LTM)	Price/ Book (LTM)
Full Sample	Mean		4.88x	11.16x	0.85x	1.12x	81.76x	1.09x
	Median		4.93x	8.57x	0.86x	1.09x	29.84x	0.72x
TIER 1	Mean		4.93x	13.95x	0.81x	1.13x	113.81x	1.30x
	Median		5.17x	10.64x	0.73x	1.13x	29.84x	0.98x

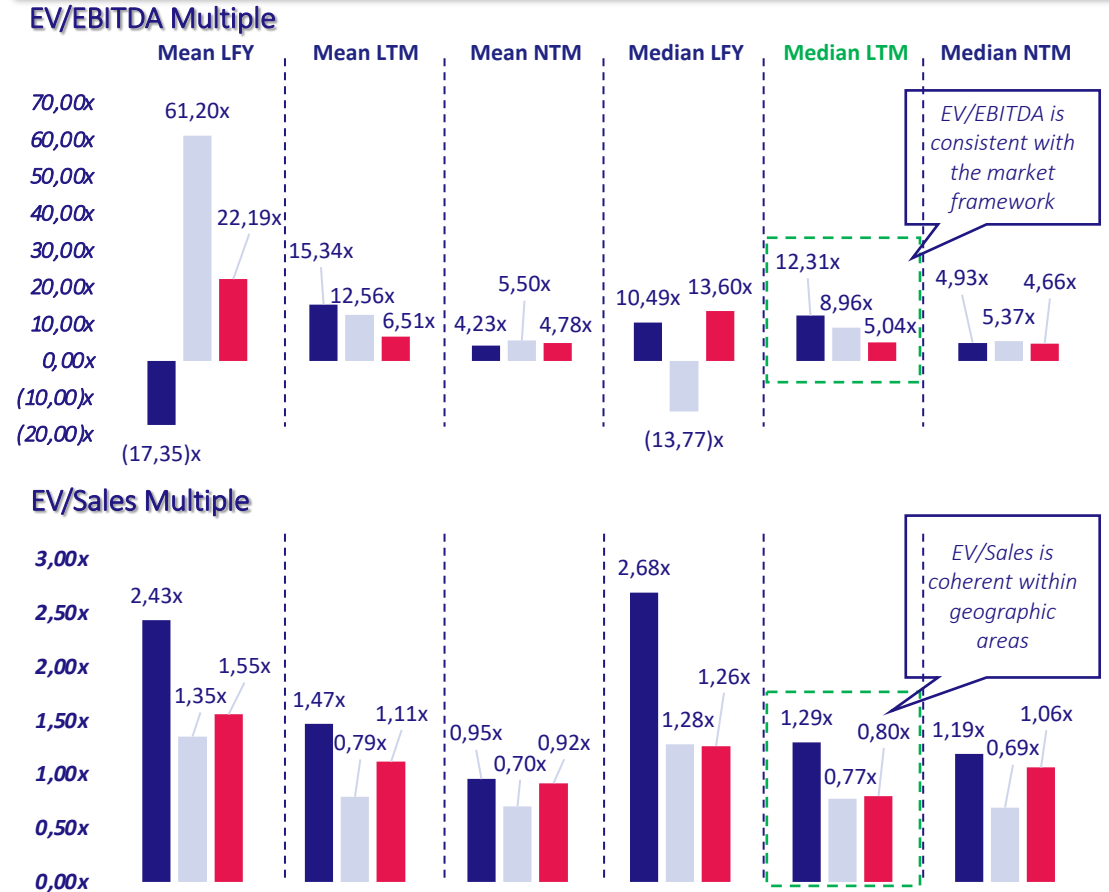
MULTIPLES VALUATION (3/3)

MULTIPLES SELECTION – «ASSET-SIDE APPROACH»

✗ EQUITY-SIDE MULTIPLES



✓ ASSET-SIDE MULTIPLES



7. DISCOUNTED CASH FLOW VALUATION

DCF ASSUMPTIONS

MODEL SELECTION

I. Asset side valuation: DCF

Latam is in the process of **changing its leverage**: exiting from Chapter 11, its capital structure will be relevantly adjusted, as we have described in the debt schedule, thus estimating **FCFO** provides less volatile value estimates respect to FCFE [1].

II. Time Horizon

$$\text{Firm Value} = \sum_{t=1}^6 \frac{FCFO_t}{(1+WACC)^t} + \sum_{t=7}^{16} \frac{FCFO_t}{(1+WACC)^t} + \frac{(1+g)FCFO_{t=16}}{(WACC-g)(1+WACC)^{16}}$$

We assume Latam will reach the **steady state** after **16 years**: we forecasted 5 year explicitly (as Business Plans were available) and 10 years of smoothed growth in free cash flow before calculating terminal value, since 2027 cash flow growth rate is far from the steady-state

III. Growth rates

Terminal cash flows growth rate g is estimated to be **2%**, in line with the market growth perspective in Latin America. **Second stage cash flow growth rate decreases from 2027 level to 2%**

IV. Free cash flow and Leases

Indirect method is applied to estimate unlevered free cash flows. According to **IAS16** Latam treated lease liabilities as financial, while corresponding lease assets as operating. Consistently, we include increase in right of use assets in capital expenditure, despite being non-cash transactions as corresponding lease liabilities are recognized [2]. *Adjusted free cash flow is the only-cash measure that exclude investment in lease assets*

To value the company using discounted FCFO we include lease capex in order to be consistent with the target financial structure which contains lease liabilities

V. Marginal Tax Rate

Marginal tax rate is assumed to be equal to **Chilean corporate marginal tax rate**, which is **27%** [3]

VI. Operating assets

The following items are excluded from operating assets in Latam enterprise value:

- **Surplus assets**, since they are classified as held for sales
- **Other Financial assets**, which includes mainly investments in securities
- **Employees benefits**, as they are mainly investments in financial debt instruments

VII. Working Capital

- **Receivables** are estimated applying the **historical average DSO** from 2012 to 2019: due to pandemic, 2020 and 2021 cannot be considered as representative years due to their exceptional high value
- **Inventories** are estimated applying on all operating expenses except salaries, **historical average DIO** from 2017 to 2019 since previous years data are too low to be compared (6 vs 15.5)
- 2022 **Payables** are reduced respect to 2021 by USD 4,561 million as stated in the extraordinary shareholders' meeting of 5th July 2022. The reduction happens by paying creditors with Convertible bonds. *For this reason, it does not imply any cash transfer and should be subtracted to the changes in NWC to reach an only-cash change in NWC*

VIII. Capex and D&A

- In the explicit forecast period **Capex** and **D&A average annual increase** is 13%
- *In the second stage Capex is assumed to decrease up to 105% of D&A, consistently with the assumption of 2% terminal growth*

IX. Tax effect

We assume Latam has the possibility to carry forward losses indefinitely in time, resulting in immediate cash flows, rather than distribute it over time

COMPUTATIONS

MULTIPLES

$$EV_{LATAM} = \left[\frac{EV}{Sales} \right]_{comps} * Sales_{LATAM;LTM} = 1.13 * 8,590,933,000 \text{ USD} = 9,722,535,256 \text{ USD}$$

$$EV_{LATAM} = \left[\frac{EV}{EBITDA} \right]_{comps} * EBITDA_{LATAM;LTM} = 10.64 * 903,046,000 \text{ USD} = 9,604,129,170 \text{ USD}$$

DCF

(000')	2018	2019	2020	2021	2022E	2023F	2024F	2025F	2026F	2027F	2028 FF	2029 FF	2030 FF	2031 FF	2032 FF	2033 FF	2034 FF	2035 FF	2036 FF	2037 FF
EBITDA	2,259,611	2,211,577	(275,901)	46,118	687,793	1,618,801	2,681,874	2,792,091	2,675,618	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091	3,060,091
(ΔWC)	(74,311)	963,622	278,715	2,783,730	(5,781,159)	179,684	(43,960)	83,447	181,873	65,354	52,283	39,212	26,141	13,071	0	(13,071)	(26,141)	(39,212)	(52,283)	(65,354)
(taxes)	(230,616)	(192,816)	0	0	120,558	(104,652)	(367,855)	(385,095)	(336,580)	(417,666)	(426,020)	(434,540)	(443,231)	(452,096)	(461,138)	(470,360)	(479,767)	(489,363)	(499,150)	(509,133)
Substitution in payment					4,561,861	(5)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Cash Flow from operations	1,954,684	2,982,383	2,814	2,829,848	(410,947)	1,693,833	2,270,059	2,490,443	2,520,911	2,707,778	2,893,841	3,077,026	3,255,151	3,425,969	3,587,207	3,736,617	3,872,025	3,991,382	4,092,814	4,174,670
(capex)					(1,231,085)	(1,954,841)	(1,307,354)	(1,590,994)	(1,601,573)	(1,872,583)	(1,860,136)	(1,847,690)	(1,835,243)	(1,822,797)	(1,810,350)	(1,797,903)	(1,785,457)	(1,773,010)	(1,760,564)	(1,748,117)
FCF	1,954,684	2,982,383	2,814	2,829,848	(1,642,032)	(261,007)	962,705	899,449	919,338	835,195	982,509	1,044,704	1,105,180	1,163,176	1,217,919	1,268,646	1,314,620	1,355,143	1,389,581	1,417,373

DCF APPROACH – COMPUTATIONS

- The DCF is highly affected by the first year of negative FCFO, prevalently due to **less revenues than expected** and a **high repayment of operating liabilities**
- The explicit forecast is 2022E-2027F.* To compute free cash flow from operations ΔWC and taxes related to the operations have been deducted from the **EBITDA**. *Having obtained the cash generated (absorbed) from operations we deduct the CAPEX, computed according to the PPE schedule*
- Since **substitution in payments** is not generating any cash, even if ΔWC is moving the choice is **NOT to account for the variations**
- In order to compute the terminal value, we used the canonical formula of a perpetuity
- Condensing the previous computations:

$$Firm Value = \sum_{t=1}^6 \frac{FCFO_t}{(1+WACC)^t} + \sum_{t=7}^{16} \frac{FCFO_t}{(1+WACC)^t} + \frac{(1+g)FCFO_{t=16}}{(WACC-g)(1+WACC)^{16}}$$

- The value obtained has then been capitalized to the WACC for 10.5 months

EV - SENSITIVITY ANALYSIS

		Cost of capital						
Growth rate	EV	8.97%	9.17%	9.37%	9.57%	9.77%	9.97%	10.17%
	1.4%	10.9177	10.5386	10.1791	9.8379	9.5136	9.2049	8.9109
	1.6%	11.0687	10.6782	10.3083	9.9576	9.6247	9.3082	9.0069
	1.8%	11.2282	10.8253	10.4443	10.0835	9.7413	9.4164	9.1076
	2.0%	11.3967	10.9807	10.5877	10.2160	9.8640	9.5302	9.2131
	2.2%	11.5753	11.1449	10.7391	10.3558	9.9932	9.6497	9.3239
	2.4%	11.7647	11.3189	10.8992	10.5033	10.1294	9.7756	9.4405
	2.6%	11.9660	11.5035	11.0687	10.6593	10.2732	9.9084	9.5632

VALUATION – DCF & MULTIPLES

EQUITY VALUE BRIDGE			
	DCF APPROACH	EV/EBITDA APPROACH	EV/SALES APPROACH
IMPLIED ENTREPRISE VALUE	10,216,048,000	9,604,129,170	9,722,535,256
(-) Net debt	(5,666,106,688)	(5,666,106,688)	(5,666,106,688)
(-) Other debt-like Items	(56,862,000)	(56,862,000)	(56,862,000)
(+) Other financial assets	175,714,000	175,714,000	175,714,000
(+) Surplus assets	135,670,000	135,670,000	135,670,000
(-) Minority interests	(13,377,000)	(13,377,000)	(13,377,000)
(+) Investments in associates	0	0	0
= IMPLIED EQUITY VALUE	4,791,086,312	4,179,167,482	4,297,573,568

PRICE PER SHARE

PRICE

MULTIPLES IMPLIED PRICE

- The share price implied by the multiple **EV/SALES** is **0.0073 USD**
- The share price implied by the multiple **EV/EBITDA** is **0.0071 USD**
- Given its share market price as of 18 november 2022, LATAM is **undervalued** with respect to its peers

- The implied share price is obtained by the multiplication between the median value of the LTM multiples of the TIER I comparables and the LTM metrics of LATAM
- The valuation presents **very high levels of the multiples under analysis** due to a current operating profitability of the airlines sector still weak, but with enterprise values which already discount the next years of earnings growth
- A more steady situation is depicted by the NTM multiples, where analysts estimate a recovery in profitability, which, without any significant variation in enterprise values, lead to **lower multiples**

#LATAM Shares
(as of 18/11/2022):
589,994,732,307

LATAM actual price:
0.0063 USD

DCF IMPLIED PRICE

- The share price implied by the **DCF** is **0.0081 USD**
- The **sensitivity analysis** on the price per share with respect to the cost of capital and growth rate shows as range of values : **0.0072–0.0090 USD**

- The long time horizon of forecasting (stage 1 + stage 2) and the limited growth (2%) implies a terminal value weight on the valuation of 46.8%, making the valuation robust on the estimate of the terminal growth rate
- Even if the estimate is robust with regard to the terminal growth rate, it is still **sensible to wacc computation**. However, despite some sensibility over the wacc, the interval suggests an **overweight** of the stock
- The valuation is highly affected from **2022 FCFO** that is largely negative, even if partially offset by the date of the valuation

**OVER
WEIGHT**

ANALYST TARGET PRICE

- The only analyst's **target price** currently available is 0.09 USD, first released in **november 2020** and lastly reviewed in **august 2022**
- The current recommendation is **HOLD**
- The **difference** between analyst's target price and **current price** is **-98.40%**

